



ISLE OF MAN
FINANCIAL SERVICES AUTHORITY

Lugħt-Reill Shirveishyn Argidoil Ellan Vannin

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PRACTICE NOTE BENEFICIAL OWNERSHIP ACT 2017

IDENTIFYING REGISTRABLE BENEFICIAL OWNERS AND SENIOR MANAGING OFFICIALS

A GUIDE FOR NOMINATED OFFICERS AND CORPORATE SERVICE PROVIDERS

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Contents

SUMMARY.....3

1. KEY DEFINITIONS.....4

2. THE DECISION ON ONE PAGE.....5

3. CRITERION (a): OWNERSHIP OR CONTROL, INCLUDING THROUGH SHARES OR VOTING RIGHTS.....6

4. CRITERION (b): CONTROL VIA OTHER MEANS.....8

5. WHERE A TRUST OR EQUIVALENT LEGAL ARRANGEMENT IS IN THE STRUCTURE: CONSIDERING BOTH CRITERION (a) AND CRITERION (b).....9

6. NO REGISTRABLE BENEFICIAL OWNER: SENIOR MANAGING OFFICIAL.....10

7. EXAMPLES AND COMMON ENTITY TYPES.....11

8. REQUIRED DETAILS, RECORDS AND SUBMISSION.....12

9. COMMON ERRORS TO AVOID.....13

FURTHER INFORMATION AND SOURCE DOCUMENTS.....13

This Practice Note is intended to complement the IOMFSA Beneficial Ownership Guidance (“the Guidance”). It must be read in conjunction with the Act, the Beneficial Ownership Act 2017 (Amendment) Order 2026, the Beneficial Ownership Information Regulations 2026 and the Guidance. It should not be relied upon as a substitute for legal advice.

Summary

This Practice Note explains a practical process for nominated officers and corporate service providers to identify the natural person or persons who must be reported to the Isle of Man Database of Beneficial Ownership (the “Database”) following the 2026 changes to the definition of a registrable beneficial owner (“RBO”).

It follows the two-part statutory definition of an RBO and the nature-of-interest categories used on the Database. Where it is identified that no natural person meets the definition of an RBO, the nominated officer must, in accordance with section 20 of the Beneficial Ownership Act 2017 (the “Act”) make the prescribed statement confirming that fact and provide information on the entity’s senior managing official (“SMO”).

Key points

- Both parts of the RBO definition must be considered in every case.
- The 25% or more threshold applies only to ownership or to control through an ownership interest. This, for a traditional company model, includes through shares or voting rights. Exactly 25% is registrable.
- No percentage threshold applies to control via other means. Therefore, all natural persons, identified by a legal owner as falling within the definition of beneficial owner by virtue of ‘control via other means’ is an RBO.
- The assessment must continue until all natural persons meeting either part of the definition have been identified.
- Information on an SMO must only be provided where no natural person meets the definition of an RBO.
- The nominated officer must maintain the required details and the information which verifies those details in accordance with section 13 of the Act.

Transitional provisions apply to legal entities incorporated before 25 May 2026. The applicable deadlines are summarised in section 8 of this Practice Note

1 Key definitions

The definitions below follow the Act and the Guidance. The Act takes precedence if there is any inconsistency.

TERM	MEANING
Legal Owner	A natural or legal person who directly owns or controls shares, voting rights or another ownership interest in the legal entity, or who exercises direct control via other means, whether or not that person is also the beneficial owner of that interest.
Beneficial Owner	A natural person who ultimately owns or controls a legal entity to which the Act applies, in whole or in part, through direct or indirect ownership or control of shares, voting rights, or another ownership interest, or who exercises control via other means.
Registrable beneficial owner	A beneficial owner who: (a) ultimately owns or controls 25% or more of a legal entity, including through direct or indirect ownership of shares or voting rights; or (b) exercises, or is entitled to exercise, control over the legal entity via other means, whether directly or indirectly.
Control via other means	A natural person who ultimately owns or controls a legal entity to which the Act applies, in whole or in part, through direct or indirect ownership or control of shares, voting rights, or another ownership interest, or who exercises control via other means. For the purposes of the definition of “registrable beneficial owner” it: (a) includes any ability, whether formal or informal and legally enforceable or not, to direct, determine, influence or veto a decision relating to the management, activities, assets, governance, beneficiaries, distributions or other affairs of the legal entity, including where such control is exercised through a legal arrangement (for example through a trust or equivalent structure); (b) where ownership or control is exercised through a legal arrangement, the registrable beneficial owner is the natural person who ultimately exercises such ownership or control and is not the legal arrangement or any legal person acting in a nominee, representative or fiduciary capacity.
Senior Managing Official	A natural person who, though not an RBO, holds a senior management position and exercises executive control over the day-to-day or strategic management of the legal entity.
Intermediate owner	A person who has an interest in the legal entity but is neither a legal owner nor a beneficial owner. The ownership and control chain must be traced through intermediate owners to the relevant natural persons.

In plain English

First, identify all beneficial owners. Then determine which beneficial owners meet either part of the RBO definition and submit their details to the Database. If no natural person meets either part of the definition, after all reasonable steps have been taken and Tier 1 and 2 are exhausted, make a declaration of ‘no registrable beneficial owner’ and provide the SMO information instead.

2 The decision on one page

The golden rule

Parts (a) and (b) of the RBO definition are not alternatives. Both must be considered in every case. Finding one RBO does not end the process: continue until all RBOs have been identified.

STEP	WHAT TO DO	PLAIN ENGLISH EXPLANATION
1	Understand the legal entity	Identify its legal owners, ownership interests, share classes, voting rights and governing documents.
2	Identify all beneficial owners	Trace ownership and control through the structure, including, where necessary through each company, nominee, trust, foundation or other arrangement until all beneficial owners have been identified.
3	Apply criterion (a)	Identify each beneficial owner who ultimately owns or controls through an ownership interest, 25% or more, including through shares or voting rights, directly or indirectly.
4	Apply criterion (b)	Identify each beneficial owner who exercises, or is entitled to exercise, control via other means. As no percentage threshold applies all natural persons who are beneficial owners because they exercise 'control via other means' are also RBOs.
5	Select the nature of interest	Use the Database category that most accurately describes each RBO's interest.
6	Continue until complete	Submit every beneficial owner that meets criterion (a) or (b). Do not stop after the first RBO is found.
7	If no person meets the RBO definition	Make the declaration of 'no registrable beneficial owner' and provide the SMO information
8	Maintain the statutory records	Keep the required details and the information which verifies those details in accordance with section 13 of the Act.

Parts (a) and (b) of the RBO definition are not alternatives. Both must be considered in every case. Finding one RBO does not end the process: continue until all RBOs have been identified.

Three questions to answer

QUESTION 1: Shares or voting rights

WHAT TO ASK: Does any beneficial owner ultimately own or control 25% or more through shares or voting rights directly or indirectly?

OUTCOME: Record each qualifying person using Ownership, Control via voting rights, or Ownership and Control. Then also consider question 2.

QUESTION 2: Control via other means

WHAT TO ASK: Does any beneficial owner exercise, or have the right to exercise, control via other means, including through a trust, foundation or as liquidator?

OUTCOME: Record each qualifying person using the appropriate non-percentage nature of interest.

QUESTION 3: No RBO

WHAT TO ASK: After all reasonable steps have been taken under 1. and 2. above, if no RBO has been identified, who is the SMO of the legal entity?

OUTCOME: Make the prescribed confirmation that the legal entity has no RBO and provide the SMO information.

3 Criterion (a): ownership or control including through shares or voting rights

Ownership and voting rights must be considered separately. They may be equal, but they may also be different. The 25% or more threshold applies to both.

1. Identify the legal owners and the number and type of shares or other ownership interests held.
2. Where a legal owner is a company, (or another type of legal person), or a nominee, trace ownership and voting rights through the chain until all beneficial owners are identified.
3. Calculate indirect interests by adding the percentages through each corporate layer.
4. Add together interests of the same nature held by the same natural person through different routes.
5. For jointly held interests, do not divide the holding between the joint holders. Each joint holder is treated as holding the full joint interest.
6. For the purposes of the Database, record every natural person whose ownership or voting rights meet 25% or more, and then continue to criterion (b).
7. Where a trust or an equivalent legal arrangement is involved, see section 5.

Nature of interest to select

NATURE OF INTEREST	WHEN TO USE IT	PERCENTAGE
Ownership	Use where the beneficial owner owns 25% or more of the legal entity, for example through shares, but controls a different percentage of the voting rights.	Yes
Control via voting rights	Use where the beneficial owner controls 25% or more of the voting rights but owns a different percentage of the shares.	Yes
Ownership and Control	Use where the beneficial owner owns 25% or more of the shares and through that ownership interest controls the same percentage of the voting rights. For example, this would be the case where there is only one class of shares carrying one vote per share.	Yes

Simple examples

SITUATION	DATABASE OUTCOME	REASON
A beneficial owner holds 25% of one class of shares. Each share carries one vote.	25% Ownership and Control.	Exactly 25% meets the threshold.
A beneficial owner owns 50% of Holding Company B, which owns 60% of Company A. Each share in Company A has one vote.	30% Ownership and Control.	The indirect interest is $50\% \times 60\% = 30\%$.
A beneficial owner owns 15% of Company A through Company B and 12% through Company C, with the same voting rights.	27% Ownership and Control.	Interests of the same nature are added together.
A beneficial owner owns 20% of the shares and controls 30% of the voting rights because of differential voting rights.	30% Control via voting rights.	The person is registrable through voting rights even though the ownership interest is below 25%.
Four beneficial owners each hold 25% of shares carrying equal voting rights.	Each recorded as 25% Ownership and Control.	Each person meets the threshold.
A corporate shareholder holds 100% of the shares.	Continue tracing through the corporate chain.	The corporate shareholder is not the natural-person RBO.

4 Criterion (b): control via other means

Control via other means includes any ability, whether formal or informal and whether legally enforceable or not, to direct, determine, influence or veto decisions relating to the management, activities, assets, governance, beneficiaries, distributions or other affairs of the legal entity.

Control exercised through a trust or equivalent legal arrangement is considered further in section 5.

NATURE OF INTEREST	WHEN TO USE IT
Control via Trust	Please see section 5.
Control via Foundation	Use for relevant non-beneficiary parties to a foundation who meet the definition, such as natural-person council members, persons controlling a corporate council member or a founder with retained control.
Control (Other)	Use for any other beneficial owner who exercises, or is able to exercise, ultimate effective control in a way not captured by shares, voting rights, a trust, foundation or liquidator role. The Guidance gives non-exhaustive examples including close familial or personal relations; the ability to appoint or remove the majority of the board without being a shareholder; de facto control; and an informal agreement.
Control as Liquidator	Use for the liquidator exercising control over an entity in liquidation.

Simple examples

SITUATION	DATABASE OUTCOME	REASON
A natural person who is not a shareholder but can appoint or remove the majority of the board.	Control (Other).	The appointment or removal power gives control via other means.
A natural person is able to direct the activities of an entity through an informal agreement.	Control (Other).	The Guidance recognises informal agreements as a potential form of control.
A foundation owns Company A and a natural-person guardian has powers which amount to ultimate effective control.	Control via Foundation.	The natural person exercises control through the foundation arrangement.
A company enters liquidation and a liquidator is appointed.	Control as Liquidator.	The liquidator controls the entity during liquidation.

5 Where a trust or equivalent legal arrangement is in the structure: considering both criterion (a) and criterion (b)

Where a trust or equivalent legal arrangement appears in the ownership or control structure, the nominated officer must consider both parts of the RBO definition.

Criterion (a) may apply where a trustee of a fixed trust holds, directly or indirectly, 25% or more of the shares in the legal entity or by holding, directly or indirectly, 25% or more of the voting rights in the legal entity.

Criterion (b) may apply where a natural person exercises, or is entitled to exercise, control through a trust (or equivalent legal arrangement). Where a natural person is registrable on this basis, record the nature of interest as Control via Trust. No percentage is entered for that nature of interest.

The trust or legal arrangement, and any legal person acting in a nominee, representative or fiduciary capacity, is not itself the RBO. The RBO is the natural person who ultimately exercises the relevant ownership or control.

Persons to consider

- The trustees, where they are natural persons.
- Where the trustee is a corporate trustee, the natural person or persons who would be the beneficial owners of the corporate trustee. Depending on the circumstances, these may be the shareholders or the directors of the corporate trustee, as appropriate.
- A protector, or the natural persons who would be the beneficial owners of a corporate protector, subject to the powers conferred on the protector.
- Any person who otherwise exercises ultimate effective control over the trust, for example an enforcer or other controller.
- A settlor, but only where the settlor has retained powers of control, such as the power to revoke the trust.
- For a fixed trust, any natural person with a guaranteed economic entitlement which represents 25% or more of the underlying legal entity.

The percentage of the trust's interest in the underlying legal entity is relevant when determining whether a fixed economic entitlement meets criterion (a). No percentage is entered where a natural person is recorded under Control via Trust under criterion (b).

Where a trust or equivalent legal arrangement appears in the ownership or control structure, the nominated officer must consider both parts of the RBO definition

Simple trust examples

SITUATION	DATABASE OUTCOME	REASON
A discretionary trust owns 100% of Company A. A corporate trustee acts as trustee. The natural persons who would be the beneficial owners of the corporate trustee are identified.	Control via Trust.	The corporate trustee is not itself the natural-person RBO. The relevant natural persons exercise control through the trust arrangement; no percentage is entered.
A settlor retains the power to revoke a trust that owns 100% of Company A.	Control via Trust.	The retained power gives the settlor control over the trust and the underlying entity.

6 No registrable beneficial owner: Senior Managing Official

A separate reporting outcome

If it is identified that no natural person meets either part of the RBO definition after all reasonable steps have been taken, the nominated officer must make the prescribed statement confirming that the legal entity has no registrable beneficial owner and provide information on the SMO. The SMO is not a beneficial owner or an RBO.

Statements of confirmation

The Beneficial Ownership Information Regulations 2026 require the nominated officer to confirm the following:

- that the person making the statement is the nominated officer of the legal entity;
- that they have taken all reasonable steps necessary to ascertain whether the legal entity has one or more RBOs;
- that they have complied with the regulations made under section 20 of the Act; and
- notices have or have not been issued under sections 9(2) and 10(2) of the Act, as applicable.

Who is the SMO?

The SMO will depend on the particular circumstances of the legal entity. It will be a person who exercises strategic decision-making powers in respect of the entity. It would not typically be a person without executive functions, such as a non-executive director.

In situations where a legal entity has more than one official with strategic decision-making powers, and none is more senior than the others, all should be treated as senior managing officials for the purposes of the Act.

ITEM	ITEM
Identity details	Name, usual residential address, service address where different, nationality and date of birth.
Date	The date on which the individual became a senior managing official of the legal entity.
Nature of interest	Record the information under Senior Managing Official.
Percentage	No percentage applies to an SMO.
Executive control	A description of the source or nature of the individual's executive control over the legal entity.

7 Examples and common entity types

7.1 Widely held company

A company has a large number of shareholders. No natural person owns or controls 25% or more through shares or voting rights, and it is identified that no natural person exercises control via other means. The nominated officer must make the prescribed confirmations and provide information on the SMO.

7.2 Property management company

A property management company has 30 flat-owner shareholders. Each shareholder is a beneficial owner, but none holds 25% or more of the shares or voting rights. It is identified that no other natural person exercises control via other means. In line with Example 25 of the IOMFSA Guidance, there is no RBO. The nominated officer must make the prescribed confirmations and provide information on the SMO.

7.3 Companies limited by guarantee

Companies limited by guarantee have members rather than shareholders. For a company limited by guarantee incorporated under the Companies Acts 1931 to 2004, each guarantee member is entitled to one vote. Where the company has four or fewer members, each member has 25% or more of the voting rights and may be an RBO recorded using Control via voting rights.

For a company limited by guarantee incorporated under the Companies Act 2006, any entitlement to a distribution must also be considered. For a hybrid company, both guarantee membership and share capital must be considered. Where no natural person meets criterion (a), and it is determined that no natural person exercises control via other means, the nominated officer must provide information on the SMO in accordance with section 5.9 of the IOMFSA Guidance.

8 Required details, records and submission

Required details and verification

Under section 9 of the Act, a legal owner must provide the nominated officer with the required details for each beneficial owner of the legal owner's interest, together with information from a reliable and independent source which verifies those details.

The required details under section 11 include the beneficial owner's name, residential address, service address where different, nationality, date of birth, date of acquisition of the interest, and the nature and extent of the interest.

Depending on the entity and structure, reliable and independent verification may include share certificates, registers of members, declarations of trust or nominee agreements, trust or foundation documents, structure charts, identification documents and proof of address.

Records under section 13

The nominated officer must maintain the required details and the information which verifies those details in the Island. The information must be preserved for a minimum of five years from the end of the period to which it relates.

Submission and timing

- The nominated officer must take all reasonable steps necessary to ascertain the RBOs of the legal entity.
- The required details of all RBOs must be submitted electronically through the Database within the statutory timeframes.
- Changes must be submitted as soon as reasonably practicable and within the applicable maximum 21-day period after the information is notified to the nominated officer.
- The legal entity and nominated officer must each make the applicable annual statement of compliance by the date on which the legal entity is due to submit its annual return.
- Before making the annual statement, the nominated officer should take proactive steps to ensure that the information held and entered on the Database is accurate and current.

Transitional arrangements

Regulation 9 of the Beneficial Ownership Information Regulations 2026 requires the nominated officer, by **15 September 2026**, to adopt the new practices and take the prescribed steps. Where no RBO exists, or the existence of an RBO cannot be established, the prescribed confirmations and SMO information must also be provided by that date.

The nominated officer must take all reasonable steps necessary to ascertain the RBOs of the legal entity

9 Common errors to avoid

COMMON ERROR	CORRECT APPROACH
Using “more than 25%”	The threshold is 25% or more. A person at exactly 25% is registrable.
Considering shares but not voting rights	Ownership and voting rights must be considered separately, including differential voting rights.
Applying 25% to control via other means	No percentage applies to Control via Trust, Control via Foundation, Control (Other) or Control as Liquidator.
Treating a company, trust or nominee as the RBO	An RBO must be a natural person. Trace through legal persons and arrangements.
Automatically selecting the directors or shareholders of a corporate trustee	Identify the natural persons who would be the beneficial owners of the corporate trustee. Depending on the circumstances, these may be its shareholders or directors, as appropriate.
Ignoring control through a trust or foundation	Review the actual powers of trustees, persons controlling corporate trustees, protectors, council members, guardians, founders and other controllers, as applicable.
Stopping after the first RBO is found	Continue until all natural persons meeting criterion (a) or (b) have been identified.
Defaulting to an SMO because no one owns 25%	Criterion (b) must always be considered. Use the SMO outcome only where no natural person meets either part of the RBO definition.
Selecting the wrong nature of interest	Choose the Database category that most accurately describes the person’s interest and apply a percentage only where the Guidance requires one.

Further information and source documents

This Practice Note should be read with the following legislation and guidance:

- Beneficial Ownership Act 2017
- Beneficial Ownership Act 2017 (Amendment) Order 2026
- Beneficial Ownership Information Regulations 2026
- IOMFSA Beneficial Ownership Act 2017 Guidance, April 2026 (GC2026/0016)
- Companies Registry beneficial ownership webpage
- Companies Registry practice notes, including PN37/2026
- Companies Registry Online Services